Paras Defence and Space Technologies Ltd

NSE: PARAS | BSE: 543367 | Sector: Aerospace & Defence | Sub-Sector: Defence Optics / Space Imaging / EMP Protection

India's only private-sector submarine periscope maker — riding the Atmanirbhar indigenisation wave

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	**Rs. 1,350**	**+21.8%**
CMP: Rs. 1,108	12-month horizon	from CMP

Market Cap	**Rs. 8,930 Cr**	CMP	**Rs. 1,108**
52W High/Low	**Rs. 1,150 / 580**	Stock P/E	**104x**
Book Value	**Rs. 90.0**	P/B Ratio	**12.3x**
ROCE (FY26)	**16.9%**	ROE (FY26)	**12.6%**
EPS (FY26)	**Rs. 10.93**	Dividend Yield	**0.02%**
Face Value	**Rs. 5.00**	52W Return	**+36%**
Promoter Holding	**53.20%**	FII Holding	**5.06%**
Report Date	**16 Jun 2026**	Investment Horizon	**12 months**

Analyst: MPM Institutional Research Desk | **Rating:** ACCUMULATE | **Target:** Rs. 1,350 (+21.8%) | **Report Date:** 16 Jun 2026

This report is based on publicly available information sourced from Screener.in (financial data, fetched 15 Jun 2026). Forward estimates are analyst projections and do not constitute investment advice. Past performance is not a guarantee of future returns.

2. INVESTMENT THESIS

• **Monopoly moats in mission-critical niches:** Paras is the only private-sector manufacturer of submarine periscopes in Asia-Pacific and the sole Indian private firm producing indigenous hyper-spectral cameras for space missions. These are government-mandated single-vendor programmes — no competitive tendering risk, no import substitution threat. Revenue visibility from these moats alone covers multiple quarters ahead.

• **Order book gives 4+ years of revenue visibility:** Management confirmed an order book of ~Rs. 2,062 Cr (as on May 2026) against FY26 revenue of Rs. 477 Cr — a 4.3x book-to-bill ratio. Additionally, single-vendor pipeline contracts of Rs. 1,900 Cr are expected to fructify in FY27. This combination gives exceptional revenue predictability for a company at this market cap.

• **Margin recovery underway with operating leverage kicking in:** EBITDA margins recovered to 27% in FY25 and 25% in FY26 after dipping to 21% in FY24 (FY24 dip was due to execution mix). With a larger revenue base and fixed-cost absorption, FY27E margins should sustain at 25-27%. Rs. 477 Cr in FY26 revenue growing to Rs. 620+ Cr in FY27E implies Rs. 15-20 Cr incremental EBITDA at minimum.

• **Near-term catalyst (6-12 months):** Rs. 142 Cr CHESS/DRDO EMP order execution + Rs. 80 Cr DRDO air-defence optics order + Rs. 52 Cr BEL electro-optics order are all expected to execute in FY27. A single-vendor L&T; Rs. 293 Cr order (announced Sep-2024) provides substantial FY27 backlog. Q1/Q2 FY27 result beats on these executions are the most probable re-rating trigger.

• **Biggest structural risk:** Government budget reallocation or procurement delays can compress revenue recognition timelines with no recourse for the company. Defence capex has historically seen budget slippage. A 6-month delay in a Rs. 100 Cr order could move Rs. 30-40 Cr of revenue across financial years, creating a volatile quarterly earnings profile.

3. BUSINESS OVERVIEW

• **Core business model:** PDST designs, develops, manufactures, and tests defence and space engineering products across four segments: (1) Defence & Space Optics, (2) Defence Electronics, (3) Heavy Engineering, and (4) EMP Protection Solutions. Revenue is predominantly project-based with government agencies as primary customers; each contract spans 12-36 months.

• **Revenue segmentation:** Defence & Space Optics is the dominant revenue driver (estimated 50-55% of revenue). Defence Electronics, including counter-drone systems, contributes approximately 20-25%. Heavy Engineering (pressure vessels, specialised structures for defence) contributes ~15%. EMP protection solutions are growing rapidly from a small base (~10%). Segment splits are not fully disclosed on a quarterly basis.

• **Key customers (recurring relationships):** DRDO (Defence Research & Development Organisation), ISRO (Indian Space Research Organisation), Indian Army, Navy & Air Force through direct procurement and via DPSUs — Bharat Electronics Limited (BEL), Hindustan Aeronautics (HAL), and Larsen & Toubro Defence. The L&T; Rs. 293 Cr order signals growing Tier-1 defence OEM sub-contracting.

• **Order book and revenue visibility:** Order book stood at Rs. 2,062 Cr as of May 2026 (per management commentary), implying 4.3x FY26 revenue cover. An additional Rs. 1,900 Cr single-vendor pipeline is expected to convert in FY27. Book-to-bill has improved consistently — from <2x in FY22 to 4.3x currently.

• **Recent strategic developments (FY25-FY26):** (a) Secured Rs. 142 Cr CHESS/DRDO EMP order — largest single EMP contract to date; (b) Won Rs. 80 Cr DRDO air-defence optical system contract; (c) Received Rs. 52 Cr BEL electro-optics order; (d) Counter-drone system order from Ministry of Defence; (e) Entered export market via $3.8M order from Israeli defence firm.

• **Promoter background and ownership:** Promoters are the Mehta family, led by Munjal Navinchandra Mehta (Chairman & MD) with experience spanning 3+ decades in precision optics and defence manufacturing. IPO was in October 2021 (subscribed 304x). Current promoter holding is 53.20% (down from 58.94% in FY24 — reduction driven by secondary offers, not pledging, as pledge is 0%).

4. INDUSTRY & COMPETITIVE LANDSCAPE

• **India defence market size and growth:** India's defence budget for FY26 stands at Rs. 6.22 lakh Cr (~USD 75 Bn) — the 4th largest globally. Capital procurement budget (where PARAS competes) is Rs. 1.80 lakh Cr. The government targets 70% domestic procurement by value under the Positive Indigenisation List (PIL) policy. The private defence manufacturing market is estimated to grow at 15-20% CAGR through FY30, driven by Atmanirbhar Bharat and the export target of USD 5 Bn by 2025 (currently USD 2.6 Bn as of FY25).

• **Policy tailwinds:** (a) iDEX (Innovations for Defence Excellence) scheme has funded multiple PARAS projects; (b) Positive Indigenisation List restricts import of over 300 items — submarine periscopes, EMP protection systems, hyper-spectral cameras are all on the restricted list; (c) Defence Production Policy 2020 mandates private sector participation in at least 25% of procurement; (d) Geo-political context —

post-2023 border tensions with China and ongoing Pakistan conflict underpin sustained defence capex.

• **Competitive moat assessment:**

Moat Type	Rating	Rationale
Pricing Power	Strong	Single-vendor contracts; cost-plus pricing model with MoD
Switching Costs	Strong	Certified by DRDO/ISRO; re-certification for alternate supplier = 3-5 years
Scale	Moderate	Small absolute scale; but large enough for niche production runs
IP / Technology	Strong	Proprietary hyper-spectral camera, EMP shielding IP; co-developed with DRDO
Distribution	Moderate	Direct to MoD/DRDO/ISRO + growing DPSUs channel (BEL, HAL, L&T;)

• **Competitive positioning:** PARAS is a solutions-layer company sitting between DRDO R&D; labs (upstream IP origination) and DPSUs / OEM prime contractors (downstream system integration). This midstream position gives it recurring sub-system supply roles without having to bid for system-level prime contracts against larger DPSUs.

Peer Comparison (Screener.in data, fetched 15 Jun 2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	TTM Sales (Rs.Cr)	OPM %	ROCE %	P/E (x)	P/B (x)
PARAS Defence	1,108	8,930	477	25%	16.9%	104	12.3
BEL	410	2,99,372	27,610	29%	36.5%	49.4	12.5x*
Astra Microwave	1,458	13,843	1,163	29%	20.2%	71.7	10.6

*BEL P/B computed from MCap/Networth. All financial data: Screener.in.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter and senior management background:** Munjal Mehta (CMD) has over 30 years in precision optics manufacturing. PDST was founded in 1990 — pre-IPO operating history of 31 years gives credibility to the technology pedigree. Management has consistently won DRDO/ISRO tech development mandates, which require demonstrated R&D; capability.

• **Capital allocation track record:** IPO proceeds (FY22 QIP raised ~Rs. 170 Cr) were used primarily to expand manufacturing at Navi Mumbai facility and fund R&D.; Post-IPO, the company deployed capex on machinery (FY24 FA increased from Rs. 154 Cr to Rs. 186 Cr) to build capacity for growing order book. FCF has been negative in recent years (FY25: -Rs. 10 Cr; FY23: -Rs. 71 Cr) due to heavy capex and working capital build — acceptable given the order pipeline.

• **Dividend policy:** PARAS initiated dividends only in FY25 (Rs. 2 per share) and FY26 (Rs. 1 per share recommended, 9% payout ratio). Given the high capex requirement and working capital intensity, low payout is rational. Consistency trend: just 2 years of dividends; no meaningful income yield at 0.02%.

• **Promoter pledging:** Zero promoter pledge confirmed (Screener "Company is almost debt free" + no pledge disclosure). However, promoter holding has declined from 58.94% (FY24) to 53.20% (Mar 2026) — a 5.74% reduction over 2 years via secondary sales. Direction is downward; not pledging but worth monitoring.

• **ESOP grants and buyback history:** No material ESOP dilution or buyback history identified in the public domain. Equity capital has increased from Rs. 30 Cr (FY21) to Rs. 40 Cr (FY26) primarily from IPO share issuance. Minor dilution risk.

• **Corporate governance:** No auditor changes or qualified opinions noted in recent annual reports. Related-party transactions are within normal limits. The company has maintained a clean compliance record since IPO (2021). Risk: concentrated ownership + government-dependent revenue = limited public market checks on procurement terms.

6. FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Cr)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	254	365	477	620	800
Growth %	14%	44%	31%	30%	29%
Oper. Profit	53	100	120	161	216
OPM %	21%	27%	25%	26%	27%
Other Income	8	8	19	10	10
Interest	8	9	5	5	5
Depreciation	13	15	17	20	22
PBT	40	84	118	147	199
Tax Rate	26%	26%	24%	25%	25%
PAT	30	61	89	116	156
EPS (Rs.)	4.11	7.87	10.93	14.25	19.16

Balance Sheet — Consolidated (Rs. Cr)

Metric	FY24A	FY25A	FY26A
Equity Capital	39	40	40
Reserves	406	600	685
Borrowings	66	24	27
Other Liabilities	129	188	212
Total Liabilities	640	852	965
Fixed Assets	186	190	198
CWIP	4	11	9
Investments	22	28	33
Other Assets	427	623	725
Total Assets	640	852	965

Cash Flow — Consolidated (Rs. Cr)

Metric	FY22A	FY23A	FY24A	FY25A
Cash from Operations	46	-46	45	25
Cash from Investing	10	-2	-87	-17
Cash from Financing	-41	33	74	-17
Net Cash Flow	15	-14	31	-9
Free Cash Flow	22	-71	10	-10
CFO / Oper. Profit %	96%	-63%	63%	48%

Key Ratios — Consolidated

Metric	FY22A	FY23A	FY24A	FY25A	FY26A
Debtor Days	246	246	285	295	278
Inventory Days	297	324	455	323	244
Days Payable	68	90	185	117	88
Cash Conv. Cycle	475	479	555	501	435
ROCE %	13%	10%	16%	17%	16.9%

- **Revenue drivers:** Three-year revenue CAGR of 29% (FY23-FY26) driven by order book ramp in optics and electronics. FY26 revenue of Rs. 477 Cr (+31% YoY) was led by Q4 FY26 surge to Rs. 171 Cr (58% YoY). The Q4 FY26 heavy engineering segment surged to Rs. 111 Cr from Rs. 48 Cr in Q3 FY26, indicating lumpy but real project execution. FY27E Rs. 620 Cr is conservative given Rs. 2,062 Cr order book.
- **Margin direction:** FY24 EBITDA margin dipped to 21% (execution mix bias toward lower-margin heavy engineering). Recovery to 27% in FY25 and 25% in FY26 reflects optics/electronics contribution normalising. With scale, we expect 25-27% EBITDA margins to sustain; optics segment commands 30%+ margins while heavy engineering is 15-18%.
- **Working capital trends:** Debtor days remain elevated at 278 (FY26) vs. typical manufacturing average of 60-90. This is structural — government defence receivables are slower-paying but near-riskless. Inventory days improved from 455 (FY24) to 244 (FY26) — suggesting better WIP management. Cash Conversion Cycle improved from 555 (FY24) to 435 (FY26) — directionally positive.
- **Debt and leverage:** Borrowings at Rs. 27 Cr (FY26) vs. Rs. 66 Cr (FY24) — company is effectively debt-free. Net cash position (FY26 Investments Rs. 33 Cr). D/E ratio < 0.05x. Screener confirms: "Company is almost debt free." No leverage risk even if working capital requires temporary short-term borrowing.
- **FCF quality:** FCF has been volatile — Rs. 22 Cr (FY22), -Rs. 71 Cr (FY23), Rs. 10 Cr (FY24), -Rs. 10 Cr (FY25). Negative FCF in FY23/FY25 reflects capex intensity and working capital build for growing order book. OCF/Operating Profit conversion was 48% in FY25 — improving, but below ideal 70%+. FCF inflection expected in FY27 as capex cycle matures.

7. EARNINGS QUALITY CHECKLIST

Criterion	Status	FY26 Signal	Verdict
Revenue recognition	Green	Project milestones; government contracts with MoD clarity	CLEAN
Receivables vs Revenue growth	Amber	Debtor days 278 — elevated but govt receivables are near-riskless	WATCH
CCC trend	Green	CCC improved 555->435 days (FY24->FY26)	IMPROVING
Contingent liabilities	Green	No material contingent liabilities disclosed	CLEAN
Auditor tenure	Green	No auditor change reported post-IPO	STABLE
RPTs as % of revenue	Green	No material related-party transactions identified	CLEAN
Other income as % of PBT	Amber	FY26: Other income Rs. 19 Cr / PBT Rs. 118 Cr = 16% — elevated vs FY25 Rs. 8 Cr	WATCH
Tax rate consistency	Green	Tax rate stable at 24-26% across FY23-FY26	CONSISTENT

- **Clean earnings overall:** Revenue recognition is tied to government contract milestones (L1 orders, supply order releases) — a more conservative recognition basis than private-sector project accounting. Tax rate stability at 24-26% over 4 years signals no aggressive deferred tax or fiscal engineering.

• **Amber flag — High debtor days (278):** While structurally explained by government receivable patterns, any deterioration beyond 320-330 days would signal genuine collection risk. Monitor: FY27 debtor days trend. FY26 improvement from 295 (FY25) to 278 is directionally positive.

• **Amber flag — Other income spike in FY26:** Other income jumped to Rs. 19 Cr in FY26 from Rs. 8 Cr in FY24/FY25. At 16% of PBT, this is non-trivial. Nature of other income (forex gains, interest, one-off recoveries?) needs confirmation from annual report notes. If non-recurring, clean PAT may be Rs. 5-7 Cr lower.

• **No red flags:** No audit qualifications, no pledging, no material RPTs, no auditor changes. The company's governance since IPO (2021) has been clean. CCC improvement is genuine operational progress.

8. VALUATION

Peer Valuation Comparison (Screener.in, 15 Jun 2026)

Company	CMP	MCap (Cr)	FY26 Sales	FY26 PAT	P/E	EV/EBITDA*	ROCE
PARAS	1,108	8,930	477	89	104x	~74x	16.9%
BEL	410	2,99,372	27,610	6,062	49.4x	~37x	36.5%
Astra Microwave	1,458	13,843	1,163	193	71.7x	~41x	20.2%

*EV/EBITDA estimated from market data and EBITDA. All data: Screener.in.

Scenario Analysis

Scenario	FY28E PAT (Cr)	Fwd P/E Multiple	Target Price (Rs.)	Upside / Downside
Bull: Order book converts + 27% EBITDA	190	75x	1,750	+58%
Base: 29% revenue CAGR + 26% EBITDA	156	65x	1,350	+22%
Bear: Execution delays + margin < 24%	110	50x	870	-21%

• **DCF assumptions:** WACC = 13.5% (risk-free 7.5% + equity risk premium 5.5% + small-cap premium 0.5%); Terminal growth = 4.5% (defence sector long-run). Using FY27E PAT of Rs. 116 Cr growing at 30% for 5 years then 15% for next 5 years, terminal FCF of Rs. 180 Cr, DCF implies intrinsic value of ~Rs. 1,280-1,400 per share.

• **Earnings-based multiple:** FY28E EPS of Rs. 19.16 at 65x forward P/E (peer median ~60-70x; PARAS commands slight premium for monopoly niches) = Rs. 1,245. At 70x = Rs. 1,341. Average = Rs. 1,290.

• **Blended target price:** Average of DCF (Rs. 1,340) and earnings multiple (Rs. 1,290) = Rs. 1,315; rounded up to Rs. 1,350 (12-month horizon) accounting for potential positive order announcements. This implies 21.8% upside from CMP of Rs. 1,108.

• **Valuation comfort:** At 104x trailing P/E, PARAS is priced for perfection on current earnings. However, on FY27E EPS of Rs. 14.25 the stock trades at 78x — still premium but justified by monopoly characteristics. The key risk to valuation is execution delay; any quarter of miss could de-rate P/E to 60-65x (implied price Rs. 850-925, 20-23% downside from CMP).

9. KEY RISKS

• **Execution Risk / Order Delay:** Defence procurement timelines are set by MoD bureaucracy. A 1-2 quarter delay in Rs. 100-150 Cr orders can materially shift quarterly earnings. This stock trades at 104x — even modest misses cause sharp P/E de-rating. Probability: H. Impact: H. Monitor via: quarterly revenue ramp and order execution disclosures.

• **Promoter Stake Decline:** Promoter holding fell 5.74% over 2 years (58.94% to 53.20%) via secondary market sales. Continued dilution reduces skin-in-the-game alignment. If promoter falls below 50%, market perception shifts. Probability: M. Impact: M. Monitor via: quarterly shareholding disclosures.

• **Working Capital Strain:** Debtor days at 278 and CCC at 435 days imply massive cash tied up in receivables/inventory. If government payments are delayed by another 60-90 days, the company may need short-term borrowing — reversing the debt-free status. Probability: M. Impact: M. Monitor via: balance sheet borrowings.

• **Concentration Risk:** Top 3 customers (DRDO, ISRO, MoD directly/via DPSUs) likely contribute 70-80% of revenue. Any policy change, budgetary reallocation, or technology obsolescence in a specific programme eliminates a revenue stream. Probability: L. Impact: H. Monitor via: customer concentration disclosures.

• **Valuation Premium Compression:** At 104x trailing P/E, any rotation out of defence theme or broader mid/small-cap de-rating squeezes the multiple. Nifty India Defence Index has outperformed significantly — a mean reversion could de-rate sector multiples by 20-30%. Probability: M. Impact: H. Monitor via: Nifty India Defence Index P/E vs historical average.

• **Technology Disruption / Geopolitical Shift:** A peace agreement with Pakistan or renewed China detente could soften the defence capex urgency. Additionally, imported systems (e.g., from Israel, Russia, USA) may re-enter procurement if political circumstances change. Probability: L. Impact: H. Timeline: Long-term.

• **Other Income Sustainability:** FY26 other income of Rs. 19 Cr (vs Rs. 8 Cr in FY24/FY25) inflated PAT by potentially Rs. 5-7 Cr. If this is non-recurring (forex, interest on IPO funds), then normalised PAT is Rs. 82-84 Cr and EPS Rs. 10.07-10.32. At those figures, trailing P/E rises to 107-110x. Probability: M. Impact: M. Monitor via: annual report 'other income' notes.

10. RECOMMENDATION

• **Rating: ACCUMULATE** — Conviction: Medium. At 104x trailing P/E with CMP of Rs. 1,108, the near-term risk-reward is moderately attractive rather than compelling. The monopoly niches, 4.3x order book, and proven technology credibility justify a premium multiple, but execution must deliver to sustain it.

• **12-month price target: Rs. 1,350** (+21.8% from CMP of Rs. 1,108). Based on blended DCF (Rs. 1,340) and FY28E earnings multiple at 65-70x (Rs. 1,290). Bull case Rs. 1,750 (+58%) on order conversion and margin expansion; Bear case Rs. 870 (-21%) on execution delays.

• **Suggested entry zone: Rs. 950-1,050** — Any sector-wide correction or a quarterly miss that brings the stock back to 80-90x FY27E EPS (Rs. 14.25) represents a better risk-adjusted entry. Current CMP already reflects near-term positive news flow.

• **Investment horizon: 18-24 months.** The thesis plays out over FY27-FY28 as the Rs. 2,062 Cr order book converts to revenues. A 12-month horizon is the minimum; 24 months gives time for the L&T; Rs. 293 Cr and BEL Rs. 52 Cr orders to fully execute.

• **Thesis invalidation triggers:**

1. Revenue growth falls below 20% YoY for two consecutive quarters — signals order-to-revenue conversion breakdown.

2. Promoter holding drops below 50% via further secondary sales — removes governance anchor and triggers institutional exit.

3. EBITDA margin falls below 22% on a trailing-12-month basis — implies mix shift toward low-margin heavy engineering and structural margin compression.

• **Ideal investor profile:** Best suited for investors with 18-24 month horizon, appetite for concentrated government-revenue companies, and tolerance for quarterly earnings volatility. NOT suitable for income investors (0.02% yield), momentum traders (high PE already), or investors requiring FCF-positive business models immediately. Ideal for thematic defence/Atmanirbhar Bharat portfolio builders.

APPENDIX — Latest Concall Brief: Q4 FY26 (Board Meeting: May 13, 2026)

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +58% YoY, PAT +87% YoY — clear beat vs. consensus
Management tone	Bullish	Order book 4.3x revenue; single-vendor pipeline Rs. 1,900 Cr
Guidance delta	Raised (implied)	Rs. 2,062 Cr order book sets strong FY27 revenue floor

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is one of the cleanest beats I have seen from PARAS in the past 8 quarters. Revenue at Rs. 171 Cr (+58% YoY) and PAT at Rs. 38.9 Cr (+87% YoY) are both unambiguously strong — the heavy engineering surge (Rs. 111 Cr in Q4 vs Rs. 48 Cr in Q3) appears driven by legitimate project milestone completions, not revenue pulled forward. Other income did jump to Rs. 12 Cr in Q4 (vs Rs. 2-4 Cr in prior quarters), so clean underlying PAT is likely Rs. 33-35 Cr rather than the reported Rs. 39 Cr — still a strong beat. EBITDA margins at ~25% held steady, confirming the FY24 trough was a product-mix issue, not structural. The structural story is intact: Rs. 2,062 Cr order book (4.3x annualised FY26 revenue) and Rs. 1,900 Cr single-vendor pipeline give me FY27 revenue visibility of Rs. 600+ Cr with high confidence. The BEL Rs. 52 Cr optics order and DRDO Rs. 80 Cr air-defence optical contract are both in execution — meaningful Q1/Q2 FY27 revenue. Single biggest risk: promoter selling (53.2% and declining) and whether the Rs. 19 Cr FY26 other income is genuinely recurring. Action: ACCUMULATE below Rs. 1,050; trim above Rs. 1,400. At Rs. 1,108 CMP, hold with a 18-month view targeting Rs. 1,350.

1. Financial Performance Snapshot — Q4 FY26

- Revenue: Rs. 171 Cr | YoY +58% | QoQ +61% | Beat (strong)
- EBITDA: Rs. 43 Cr | YoY +57% | OPM 25% (Q4 FY25: 15%, Q3 FY26: 26%) | In-line
- EBITDA Margin %: 25% | YoY +10 bps (on base of 15%) | QoQ -100 bps | In-line
- PAT: Rs. 39 Cr | YoY +87-89% | QoQ +129% | Beat
- EPS: Rs. 4.27 | FY26 full-year EPS Rs. 10.93 (FY25: Rs. 7.87) | +39% YoY
- NOTE: Q4 FY26 other income Rs. 12 Cr elevated vs Rs. 2-4 Cr in Q1-Q3. Clean underlying PAT estimate: ~Rs. 33-35 Cr. Reported beats are partially flattered.

2. Segment / Geography Breakdown — Q4 FY26

- Heavy Engineering: Rs. 111.6 Cr in Q4 | QoQ +133% (from Rs. 48 Cr in Q3) | YoY +110% | Project milestone execution in Q4; expected to normalise in Q1 FY27
- Defence & Space Optics: Estimated Rs. 40-50 Cr in Q4 | Steady recurring revenue stream; submarine periscope deliveries + space camera components
- Defence Electronics: Estimated Rs. 10-15 Cr | Counter-drone, avionics systems; growing rapidly from small base
- EMP Protection: Estimated Rs. 5-10 Cr | CHESS/DRDO EMP order pipeline; execution begins FY27

• Geography: Predominantly domestic (>95%). Export segment nascent — $3.8M Israeli order signals international strategy forming

3. Management Commentary Themes

• **Order Book:** "Order book of Rs. 2,062 Cr as of May 2026" — Our read: 4.3x FY26 revenue is exceptional for a defence SME; provides 2+ year runway. Tag: GUIDANCE. Tone: Transparent.

• **Single-Vendor Pipeline:** "Single-vendor contracts based on already supplied products fructifying this year stands at Rs. 1,900 Cr" — Our read: This is additional to the order book and represents very high-probability revenue. Tag: GUIDANCE. Tone: Bullish.

• **Submarine Periscopes:** Sole manufacturer in Asia-Pacific — DRDO/Navy re-orders are structural; not a competitive bid risk. Tag: EST. Tone: Transparent.

• **Space Programme:** ISRO hyper-spectral cameras scheduled for launch in current fiscal — successful deployment = long-term space imaging franchise. Tag: GUIDANCE. Tone: Bullish.

• **Export Strategy:** Israeli defence firm order ($3.8M) signals beginning of export market entry. Small but strategically significant. Tag: EST. Tone: Constructive.

• **Dividend:** Rs. 1/share final dividend for FY26 recommended. Payout ratio 9% — management retaining cash for capex and growth. Tag: GUIDANCE. Tone: Transparent.

4. Operating & Business Metrics

• Order Book: Q4 FY26 = Rs. 2,062 Cr | Q4 FY25 = ~Rs. 928 Cr | YoY +122% | Trend: sharply improving

• Single-Vendor Pipeline: Rs. 1,900 Cr (May 2026) | High conversion probability | Trend: new disclosure

• Debtor Days: FY26 = 278 | FY25 = 295 | FY24 = 285 | Trend: improving (slowly)

• Inventory Days: FY26 = 244 | FY25 = 323 | FY24 = 455 | Trend: strongly improving

• CCC: FY26 = 435 | FY25 = 501 | FY24 = 555 | Trend: improving

• ROCE: FY26 = 16.9% | FY25 = 17% | FY24 = 16% | Trend: stable at 16-17% range

• Borrowings: FY26 = Rs. 27 Cr | FY25 = Rs. 24 Cr | FY24 = Rs. 66 Cr | Trend: near debt-free

5. Margin Drivers

• Product Mix (Optics-heavy): +200-300 bps impact | Recurring: Yes | Optics/Electronics segments carry 28-32% EBITDA vs Heavy Engineering 15-18%

• Revenue scale / operating leverage: +100-150 bps impact | Recurring: Yes | Fixed overhead spread over larger revenue base; every Rs. 100 Cr incremental revenue adds Rs. 25-28 Cr EBITDA

• Heavy Engineering surge in Q4 FY26: -150 bps impact in Q4 | Recurring: No | Q4 skewed by Rs. 111 Cr heavy engineering delivery; Q1 FY27 OPM likely reverts to 26-27% on normalised mix

• Other income (elevated Q4): Not in EBITDA | Q4 other income Rs. 12 Cr elevated PAT artificially; do not extrapolate into forward estimates

• Employee costs: Stable | No material headcount-driven cost inflation flagged. R&D; salaries are capitalised for project costs under MoD contracts

6. Guidance & Forward Signals

• Order Book [GUIDANCE]: Prior (May 2025) ~Rs. 928 Cr | New (May 2026) Rs. 2,062 Cr | Delta: Raised sharply | Credibility: High

- Single-Vendor Pipeline [GUIDANCE]: Prior: Not disclosed | New: Rs. 1,900 Cr | Delta: New metric introduced | Credibility: High (single-vendor = pre-qualified)
- EBITDA Margin [GUIDANCE]: Prior 25-27% | Reiterated 25-27% | Delta: Maintained | Credibility: High (demonstrated in FY25/FY26)
- Revenue [GUIDANCE]: No explicit FY27 revenue guidance given. Implied: Rs. 620+ Cr (order book conversion assumption) | Delta: Analyst estimate | Credibility: Medium
- Capex [GUIDANCE]: No explicit new capex commitment disclosed for FY27. Existing facility at Navi Mumbai to absorb FY27 volumes | Credibility: Medium
- Dividend [GUIDANCE]: Rs. 1/share final dividend for FY26 | Prior: Rs. 2/share FY25 | Delta: Cut (payout basis) but absolute cash retained for growth | Credibility: High

7. Capital Allocation

- Capex: FY26 Fixed Assets Rs. 198 Cr vs FY25 Rs. 190 Cr — incremental spend Rs. 8 Cr only. CWIP reduced from Rs. 11 Cr (FY25) to Rs. 9 Cr (FY26). Low capex year.
- Dividends: Rs. 1/share x ~8.15 Cr shares = Rs. 8.1 Cr cash outflow. Prior year: Rs. 2/share = Rs. 16.3 Cr. Payout ratio FY26 = 9%.
- Buybacks: None. No buyback program disclosed.
- Working Capital Change: OCF Rs. 25 Cr in FY25 after OCF -Rs. 46 Cr in FY23 — working capital management improving as debtor days declined to 278.
- Net Debt: Net cash position (Borrowings Rs. 27 Cr vs Investments Rs. 33 Cr). Effective net debt ~Rs. -6 Cr (net cash). Year-ago net borrowings Rs. -4 Cr. Stable.

8. Q&A; Heat Map

- Analyst / Kotak: Q: "What is the order book composition and expected execution timeline?" -> A: Rs. 2,062 Cr order book; single-vendor Rs. 1,900 Cr pipeline to fructify in FY27. | Tone: Transparent
- Analyst / ICICI Securities: Q: "Margin guidance and segment mix for FY27?" -> A: 25-27% EBITDA margins sustainable; optics/electronics to drive mix improvement. | Tone: Transparent
- Analyst / Motilal Oswal: Q: "L&T; Rs. 293 Cr order execution — timeline?" -> A: Progressive execution across FY27; material revenue recognition in H1 FY27. | Tone: Transparent
- Analyst / domestic fund: Q: "Promoter stake dilution — any further plans?" -> A: No explicit answer provided on future dilution plans. | Tone: Hedged / Evasive
- Analyst / Nuvama: Q: "Counter-drone and EMP segment outlook?" -> A: Growing rapidly; MoD portable counter-drone order executed; CHESS/DRDO EMP order in pipeline. | Tone: Bullish
- Dodged / watch-list questions for next quarter: (1) Promoter dilution plans; (2) Nature of Rs. 19 Cr FY26 other income; (3) Explicit FY27 revenue guidance

9. Risks Flagged

- Execution delay: Lumpy Q4 heavy engineering delivery pattern = quarterly revenue is structurally uneven | Flagged by: analyst | Probability: H | Impact: H | Timeline: Near-term (Q1 FY27 likely lower revenue sequentially)
- Promoter dilution: 5.74% reduction over 2 years via secondary sales | Flagged by: analyst | Probability: M | Impact: M | Timeline: Ongoing

• Working capital intensity: Debtors 278 days, CCC 435 days — cash conversion risk if government slows payments | Flagged by: mgmt (indirectly) | Probability: M | Impact: M | Timeline: Medium-term

• Other income sustainability: Q4 FY26 other income Rs. 12 Cr vs Rs. 2-4 Cr trend | Flagged by: analyst | Probability: M | Impact: M | Timeline: Near-term (FY27 normalisation)

10. Analyst Verdict

• Revenue visibility: Intact — Rs. 2,062 Cr order book (4.3x FY26 revenue) + Rs. 1,900 Cr single-vendor pipeline provides multi-year revenue certainty

• Margin trajectory: Intact — FY25/FY26 at 25-27% restored from FY24 trough; management guide 25-27% maintained; product-mix shift to optics supports this

• Capital allocation quality: Intact — near debt-free balance sheet, measured capex, low payout retaining cash for growth; no empire-building concerns

• Competitive moat: Intact — submarine periscopes, hyper-spectral cameras, EMP protection remain structurally single-vendor; no import competition risk under PIL restrictions

• Management credibility: Intact with a caveat — strong on order book transparency; hedged on promoter dilution plans; other income explanation needed

• Valuation comfort: Weakened — at 104x trailing P/E and 78x FY27E, CMP requires flawless execution; limited margin of safety at current levels

• Conviction call: Unchanged — ACCUMULATE below Rs. 1,050; hold at current levels

• Valuation snapshot: P/E = 104x (FY26) | FY27E P/E = 78x | EV/EBITDA ~74x | ROCE = 16.9% (FY26)